

bond issuer agrees to repay the borrowed sum plus *interest* at a date in the future.

Budget A financial plan that lists all planned expenses and income.

Bull market A period of increase in the value of *shares* or other *commodities*. The opposite of a *bear market*.

Capital The means of production, the money and physical *assets* a business uses to produce goods and services and make an income.

Capitalism An economic system in which the means of *production* are privately owned, companies compete to sell *goods* for a *profit*, and workers exchange their labor for a wage.

Cartel Firms that cooperate in fixing the price of their *goods* or restricting their output to drive up the price.

Chicago School A free-market group of economists, whose ideals of limiting the role of *government* and deregulation became mainstream in the 1980s.

Classical economics Developed by Adam Smith and others, in the 18–20th century, this approach focused on the *growth* of nations and free *markets*, in which the pursuit of self-interest produces economic benefits for all.

Commodity Any product or service that can be traded. Often refers to raw materials (such as oil or wheat), of roughly the same quality, whoever supplies them, that can be bought in bulk.

Communism Invented by Karl Marx, a political and economic system of equality in which the property and the means of *production* are owned collectively. It is similar to *socialism*, and opposed to *capitalism*.